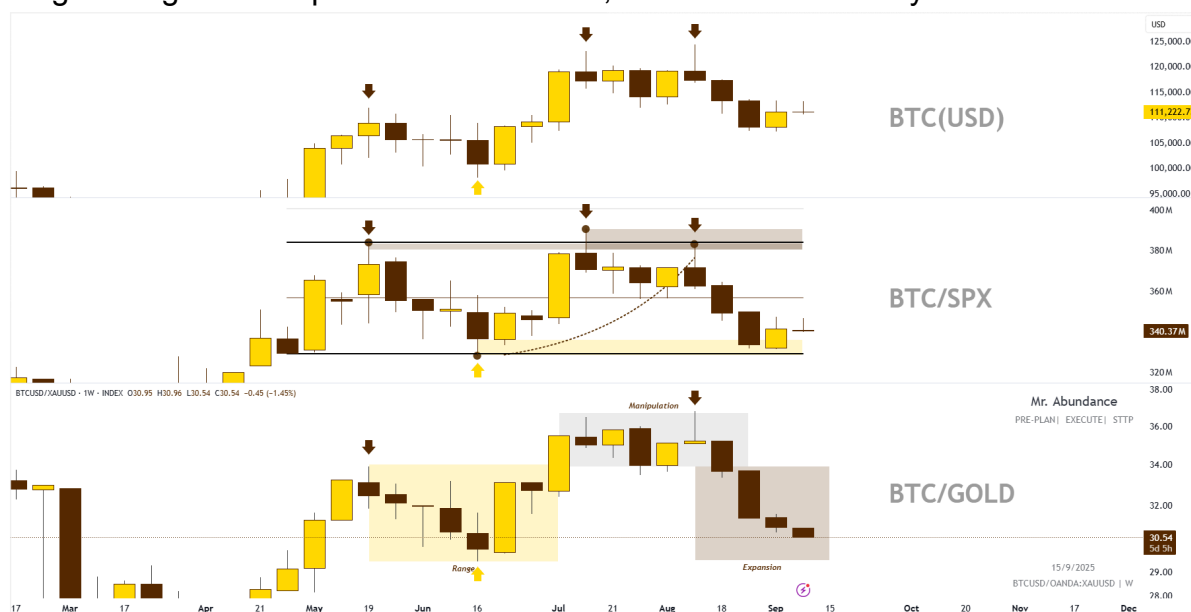


Example 4 - BTC in Three Worlds — USD, SPX, and Gold

Looking only at **BTC/USD**, price action appears noisy and random. Retail traders are left guessing where tops and bottoms form, and which levels truly matter.



Now compare that to the ratio charts:

- **BTC/SPX** shows Bitcoin's performance relative to equities. Here, Wyckoff-style distribution and accumulation patterns highlight clear pivot zones that remain invisible on BTC/USD. Market Makers see these ranges and act on them.
- **BTC/Gold** reveals Bitcoin's rotation relative to hard money. Notice how BTC transitions from a *range*, into *manipulation*, and then into *expansion*. This shows that BTC's USD rally was not truly supported — because relative to gold, it was still completing a distribution cycle.

The lesson:

Upside moves in BTC/USD are sustainable only when confirmed by strength in BTC's major ratio pairs. If the ratios are still in distribution, the rally lacks institutional support.

Ratios transform confusion into clarity. They expose the true pivot levels and confirm whether a move is backed by Market Makers — or whether retail is simply being lured into chasing.

Example 5 - Mapping Metal Outperformance

5.1 - Lithium miners vs Lithium Battery producers (Sept. 2025)

In order to understand capital rotation in the Lithium space, it makes sense to look at their primary use cases which is batteries - and compare miners vs battery producers.

In the first 2 images, the stocks used for are not extensive, but illustrate how you can take some top miners vs 1-3 top battery producers to get a feel for the capital rotation rhythm.

Image 1: $(BATS:SQM+BATS:ALB+BATS:LAC)/LSE_DLY:0QYR$

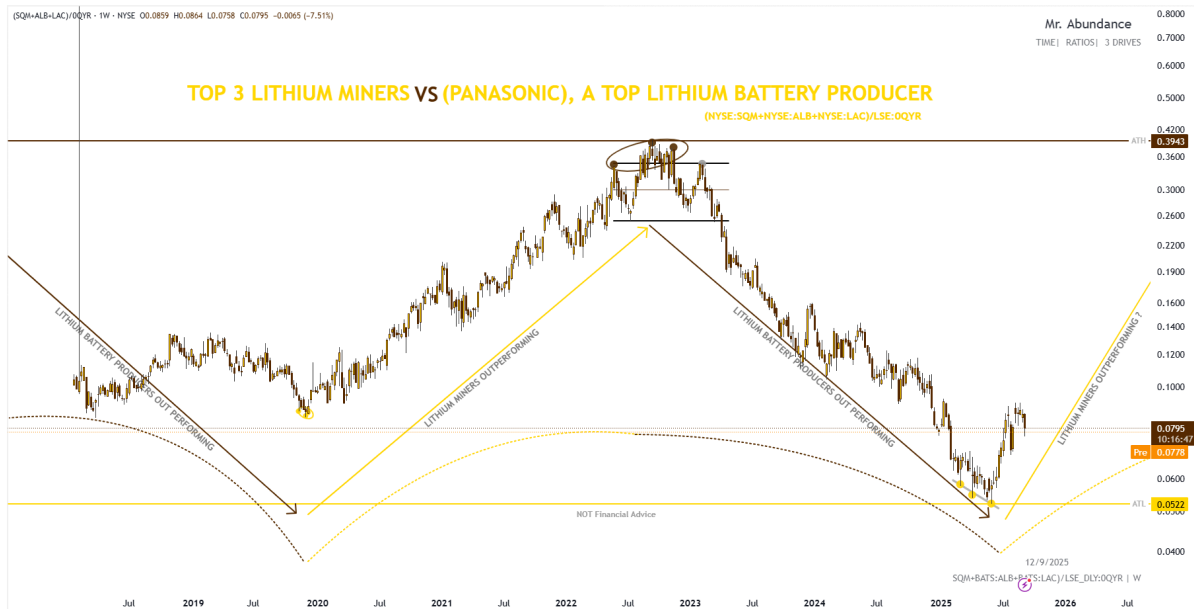


Image 2: $(BATS:SQM+BATS:ALB+BATS:LAC)/KRX_DLY:051910$

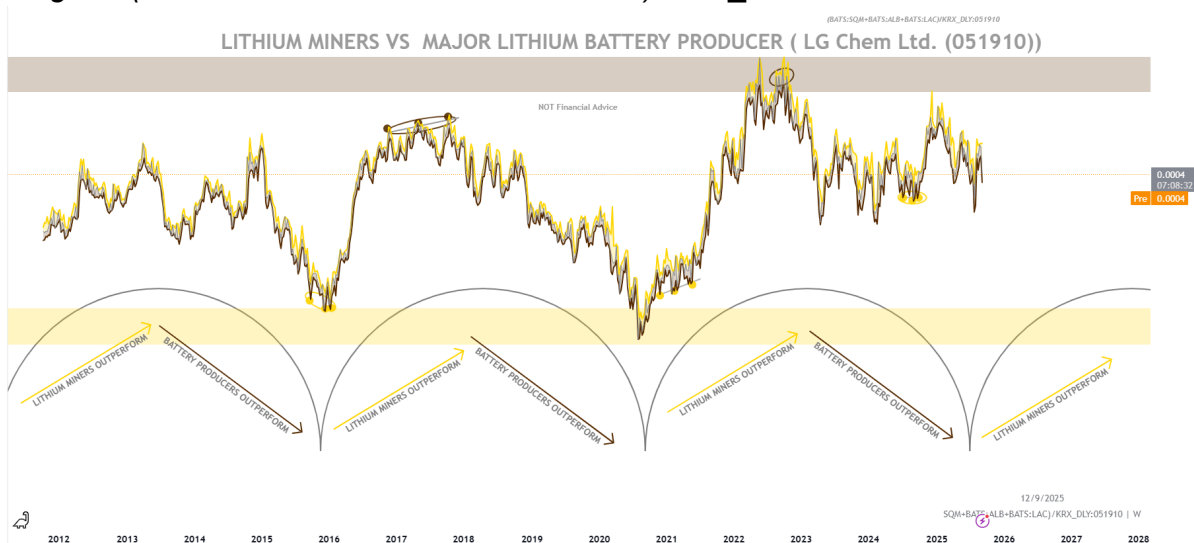
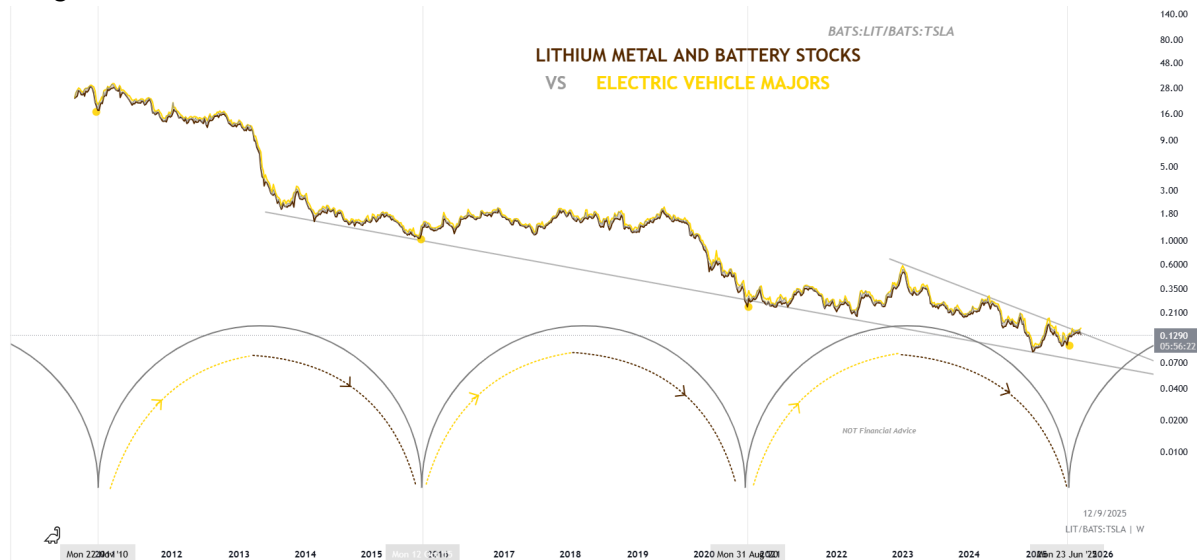


Image 3 below compares Lithium & battery suppliers (LIT as proxy for Lithium & Battery stock index) against EVs (Tesla as proxy). Which answers the question of whether capital is rotating into EVs themselves or EVs main components such as batteries.

Image 3: LIT/TSLA



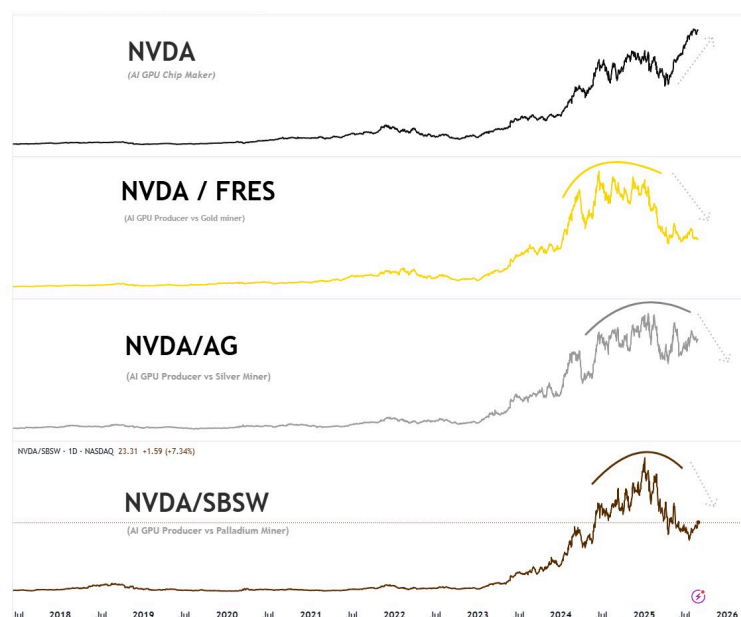
5.2 - AI GPU Leader(s) vs AI Metal Miners

In this example we are looking at the AI space, asking the question:

“Are AI investors rotating capital into AI Stocks Or AI Metal Components?”

The simple logic behind this is that in an AI era, the big institutions are less willing to risk on speculation of individual software or AI tech stocks, they will seek “shovels”. I.e. the infrastructure behind AI. But, within AI infrastructure there is broadly speaking the GPUs or the raw components making up GPUs (the glass and the metals).

Hence we look at major AI GPU companies versus the 3 main metal components in GPUs (or, their leading metal miners).



5.3 - Platinum breakout

Here watching the USD pair. Firstly, Platinum made a sharp move up in alignment with the time cycle bottom pivot on the platinum silver pair. Secondly, Platinum made a breakout backtest at the same time the Platinum/Silver ratio made a backtest for a potential higher low on the model 1 accumulation pattern. This signalled further support for the breakout backed by a period of platinum outperformance.



Example 6 - Banking/ Financial Crisis

Here we can ask the question "Is money safe in banks?" or at the very least "Is money safer in bank stocks or precious metals?"

For this we can simply look at bank indexes/Gold or Bank indexes/major precious metal indexes. *(We will look at examples of this first).*

We can simply look at the 5 largest banks and compare them to the 5 largest precious metals. *(We will look at examples of this second).*

Note: Banking indexes:

- KBW Nasdaq Bank Index (BKX): Tracks the performance of leading US-based bank companies.
- Dow Jones U.S. Banks Index (DJUSBK): Tracks a broad range of US banks.
- S&P 500 Banks Industry Group Index (SP625) or, SPDR S&P Bank ETF (KBE): both track banks within the S&P 500.
- S&P 500 Financials Sector Index (SP500.40): While broader than just banks, this index includes banks as a significant component alongside other financial services companies.
- Nasdaq Bank Index: Another index specifically focused on banks.
- TXBA comprises stocks of major Canadian banks.

Note: Precious Metals indexes:

- Precious Metals Price Index (I:PMPI) or, abrdn Physical Precious Metals Basket ETF (GLTR): Both track weighted average of precious metals prices.
- Dow Jones Precious Metals Index (DJGSP): Tracks precious metals miners.
- S&P/TSX Global Gold Index (TTGD): Tracks Canadian gold miners.

Image 1: Canadian Banks / Canadian Gold Miners

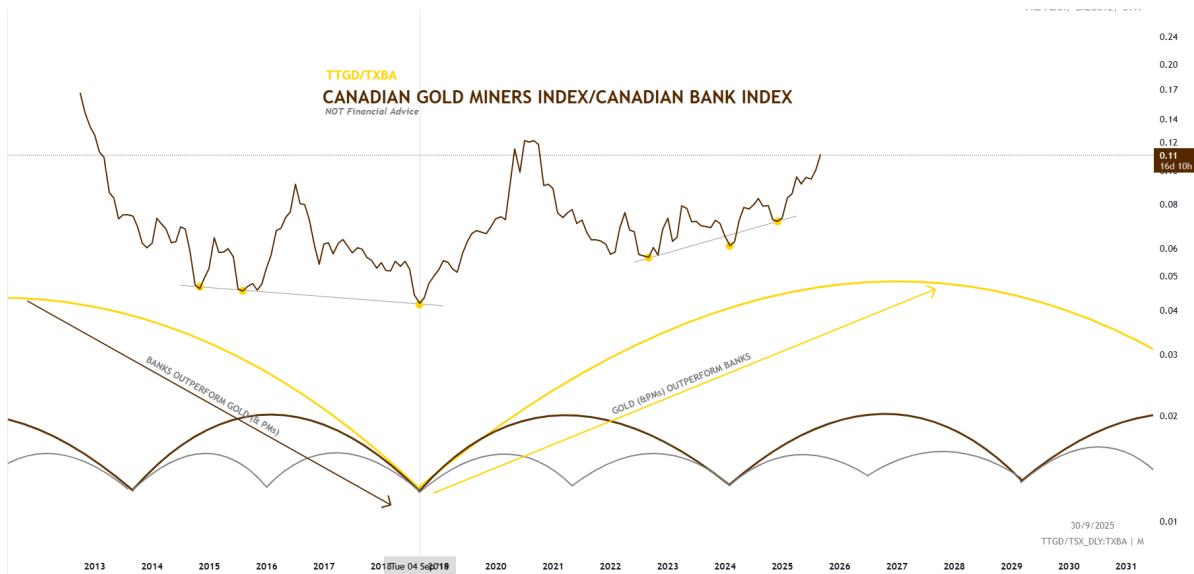


Image 2: Precious Metals/ US Banks

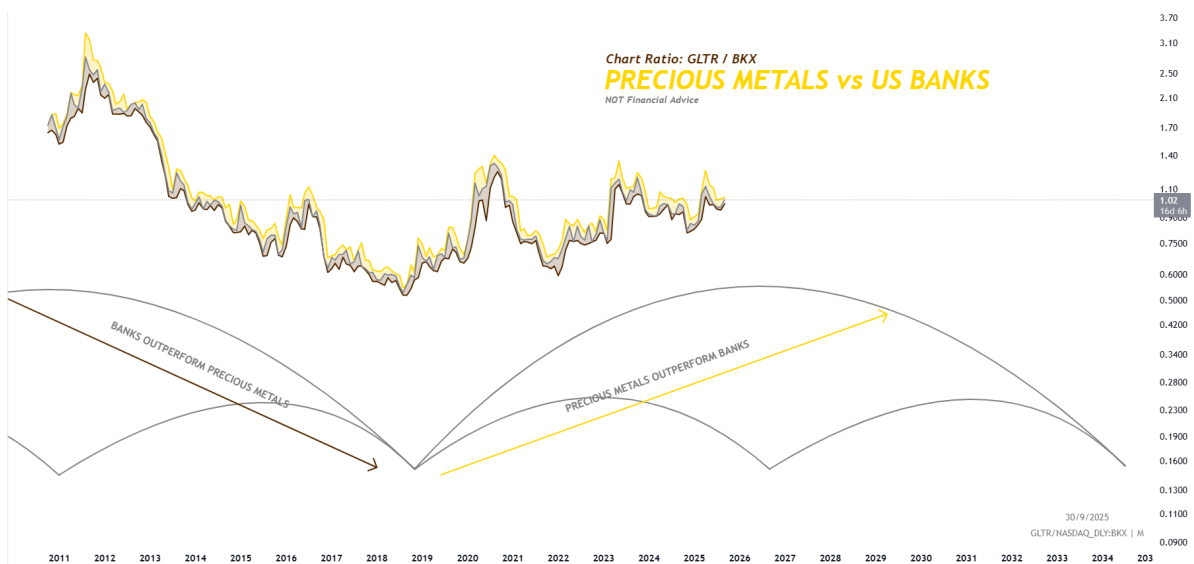


Image 3: NASDAQ Large PM Miners (NQUSB551030LM) & PMs vs S&P Banks (KBE)

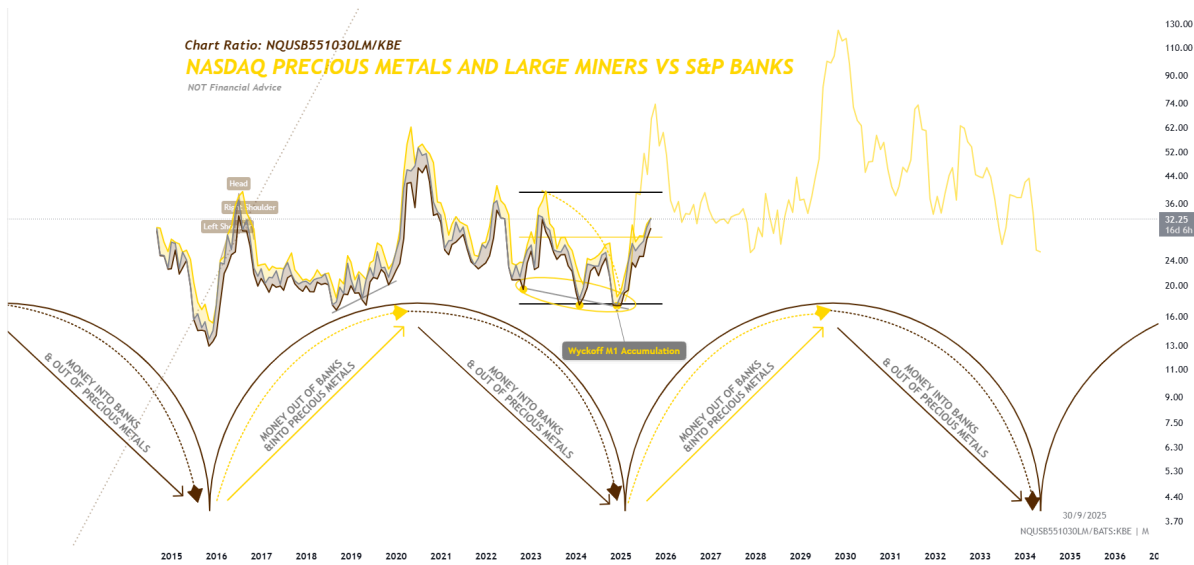


Image 4: Silver /JPM(JP Morgan) - Local Price Action



Image 5: Silver /JPM(JP Morgan) - Macro Price Action & Money Flow Patterns

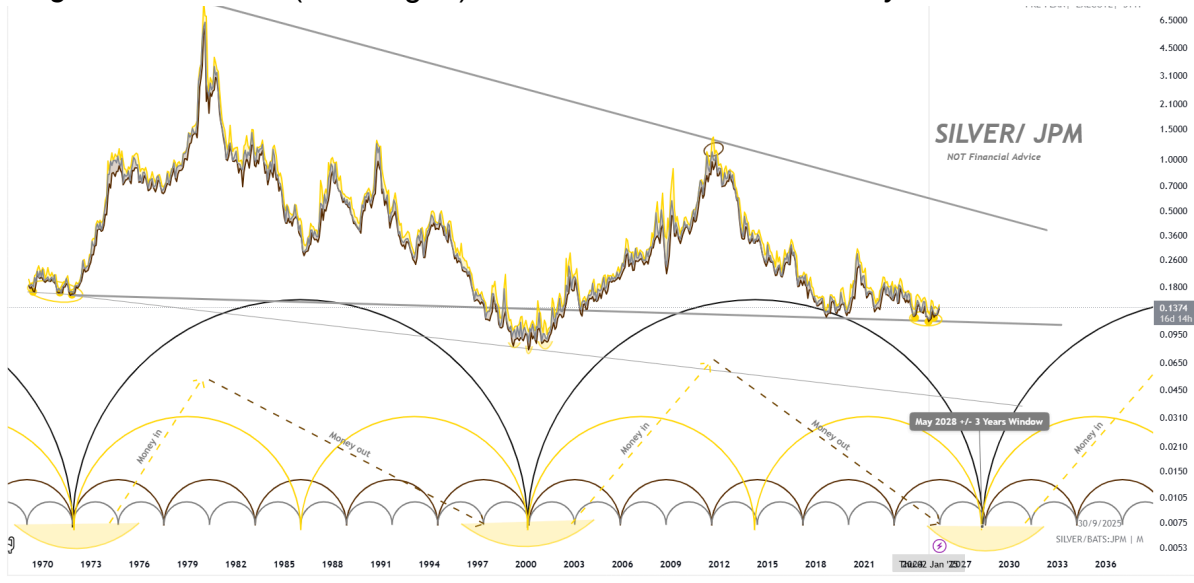
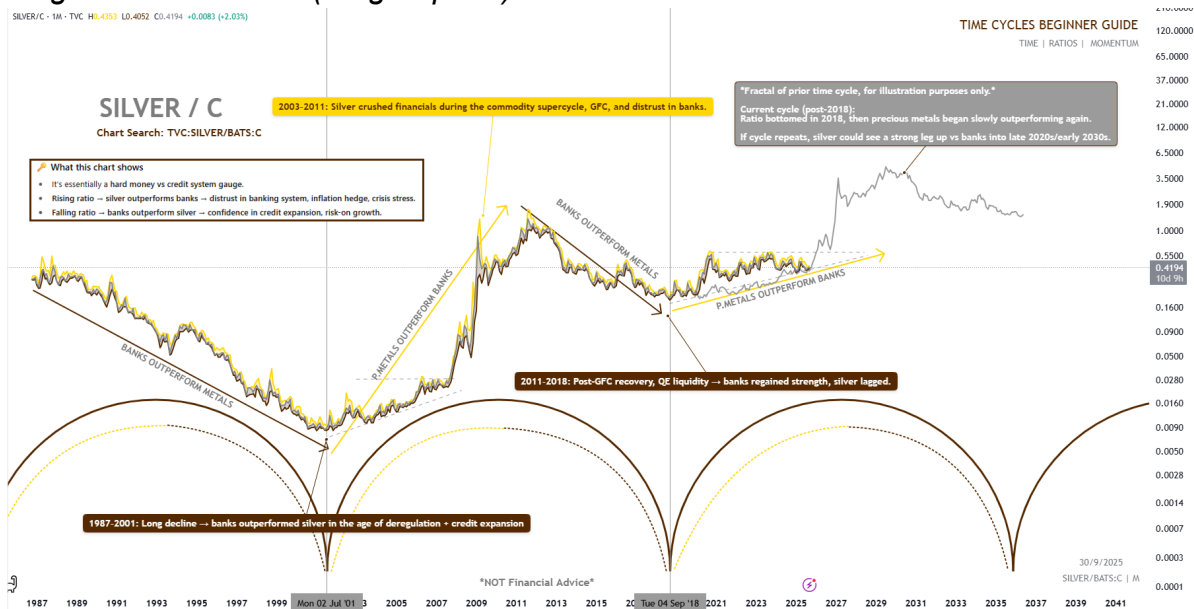


Image 6 - SILVER / C (Citigroup Inc)



Note: GFC stands for the Global Financial Crisis (2007–2009).

- Triggered by the U.S. housing bubble + subprime mortgage collapse.
- Lehman Brothers went bankrupt (Sept 2008).
- Banks and credit markets froze → worst financial crisis since the Great Depression.
- Massive bailouts, QE (Quantitative Easing), and near-zero rates followed.

Image 7: PLATINUM/WFC (Wells Fargo & Company) - Local Price Action



Image 8: PLATINUM/WFC (Wells Fargo & Company) - Macro Price Action & Money Flow Patterns



Image 9 - PLATINUM / C (Citigroup Inc)

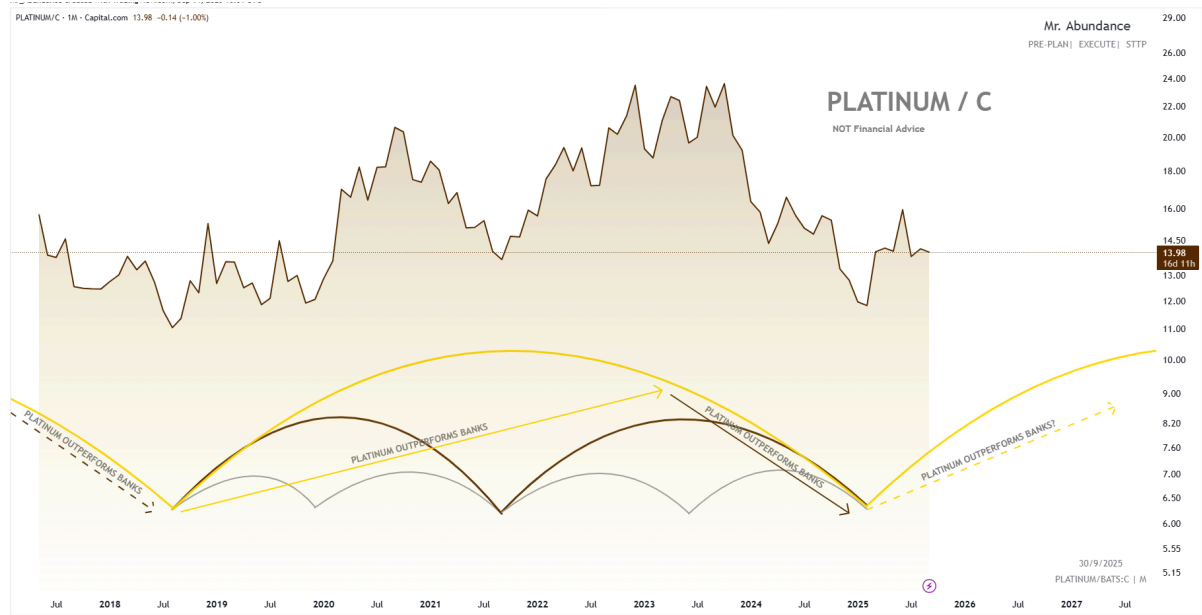
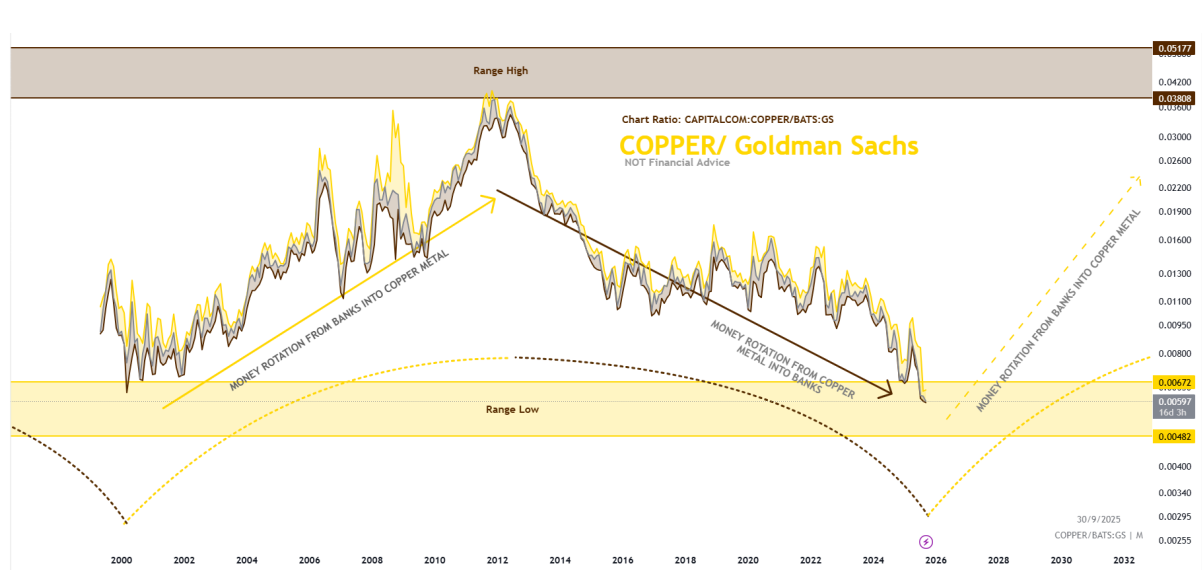


Image 10 - COPPER / GS (Goldman Sachs)



Example 7 - Identifying USD bear markets / Precious Metal Bull markets

Here we can ask the questions: “Is there a PM Bull Market?”; “Is a USD Bear market coming?”; “Is now a good time to buy Gold?”

Below I will first explain what the 11 key ratios to watch are, what they mean, then we will dive deeper into some of them.

Key Macro Capital Rotation Ratios

When you price each S&P sector in **Gold (\$XAU/USD)**, you strip out nominal USD gains and ask: *“Is this sector really outperforming, or just inflation illusion?”*

If most sectors are in bear markets vs Gold, it signals:

- Broad-based equity underperformance vs hard money
- A macro **USD bear market regime**

11 Key Ratios to Watch (Gold vs S&P Sectors):

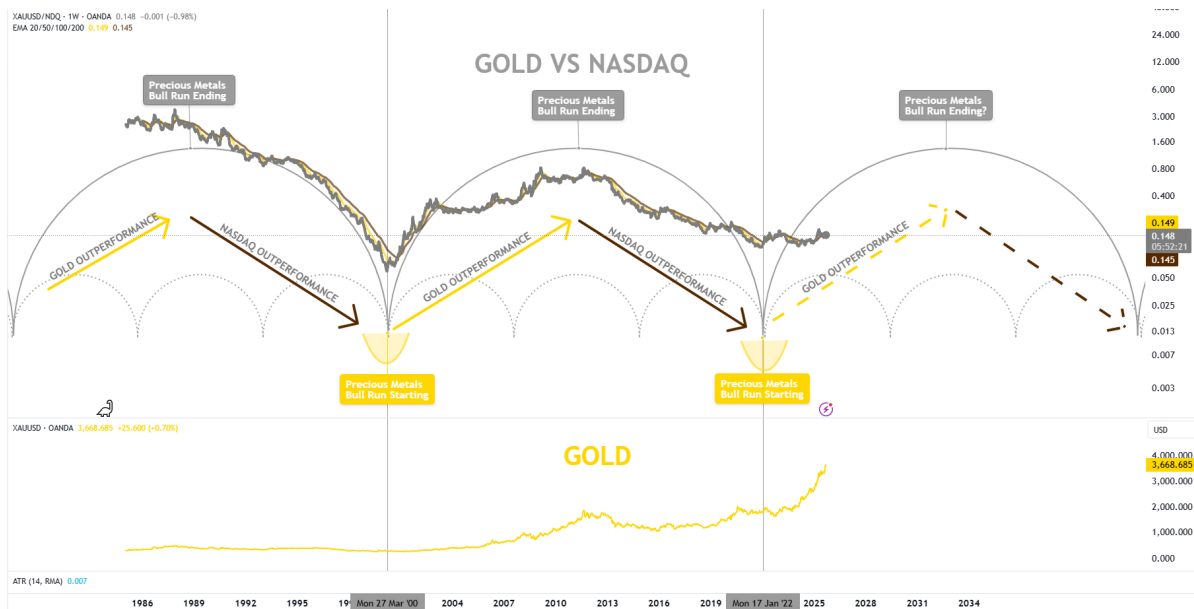
1. **XAU / XLK** → Tech (speculative growth)
2. **XAU / XLF** → Financials (banks + liquidity barometer)
3. **XAU / XLE** → Energy (inflation hedge vs real assets)
4. **XAU / XLV** → Healthcare (defensive equities)
5. **XAU / XLY** → Consumer Discretionary (risk-on spending)
6. **XAU / XLP** → Consumer Staples (defensive consumer)
7. **XAU / XLI** → Industrials (cyclical strength)
8. **XAU / XLRE** → Real Estate (rates + property cycle)
9. **XAU / XLU** → Utilities (bond proxies)
10. **XAU / XLC** → Communication Services (media/tech blend)
11. **XAU / XLB** → Materials (industrial metals/chemicals)

Macro Signal:

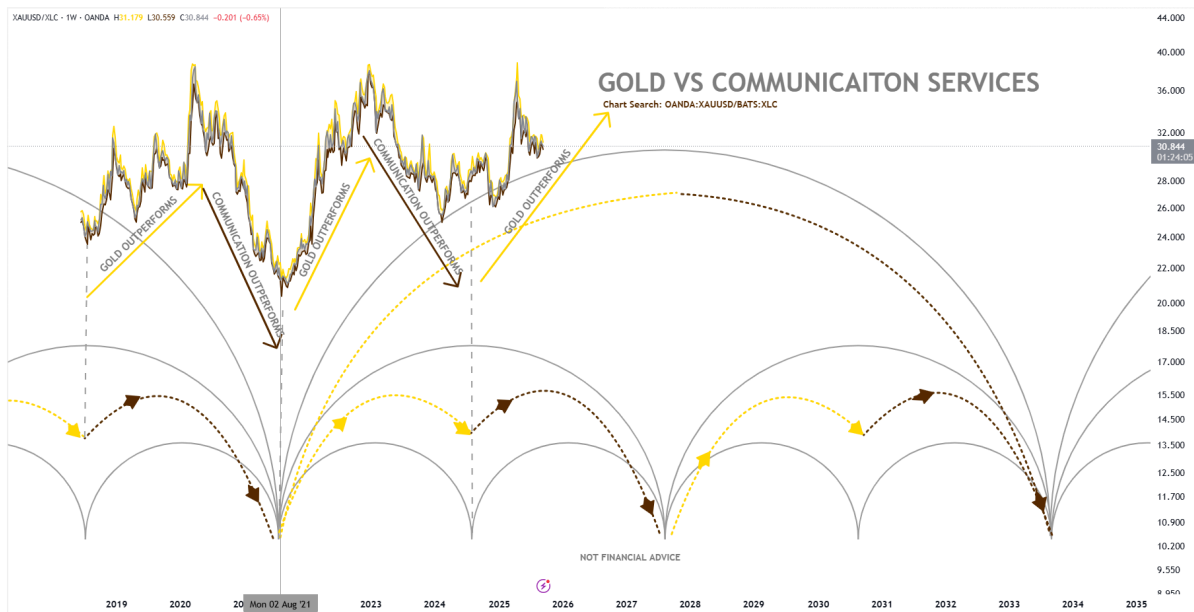
- 1–3 sectors breaking down vs Gold → Local rotation
- 5+ sectors breaking down vs Gold → Equity weakness broadening
- *All 11* sectors in bear markets vs Gold → **Full macro regime shift**
Strong confirmation of a **USD bear market + hard asset dominance**

These key asset ratios filter out nominal gains and reveal **true relative strength vs monetary debasement** and provide powerful macro market insights for investors.

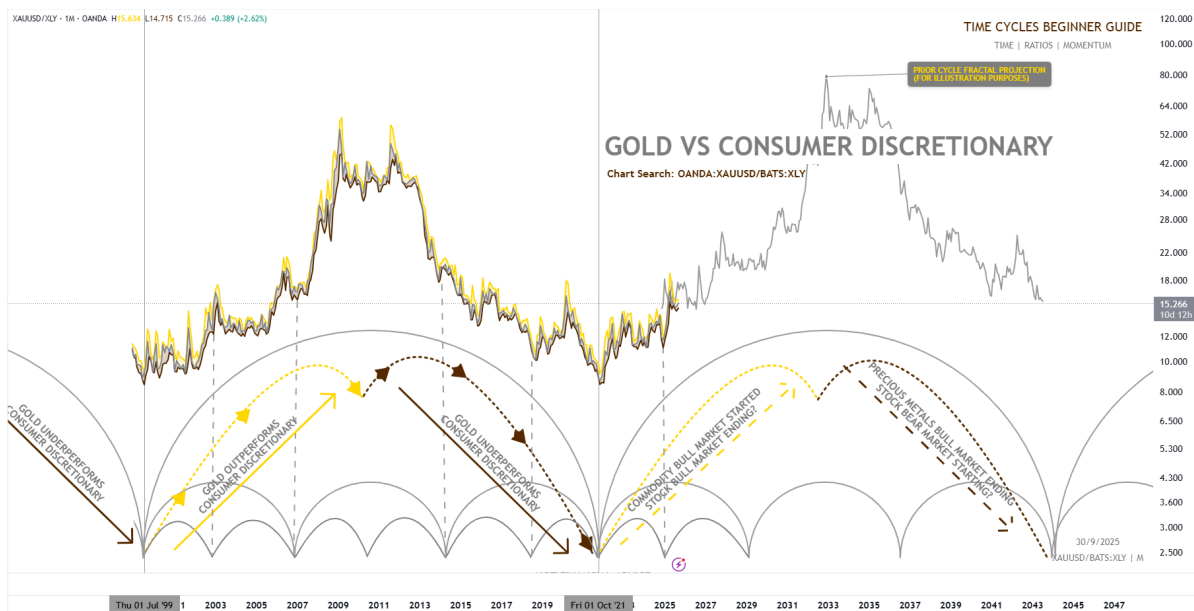
7.1 GOLD vs NASDAQ = XAU/NDQ



7.2 GOLD vs COMMUNICATIONS = XAU/XLC



7.3 GOLD vs CONSUMER DISCRETIONARIES(S&P 500 sector) = XAU/XLY



- If the ratio is rising → Gold is outperforming Consumer Discretionary stocks.
- If the ratio is falling → Consumer Discretionary stocks are outperforming Gold.

Why it matters:

- Gold = Safety, defensive asset, thrives in risk-off, inflation, or distrust of financial assets.
- Consumer Discretionary (XLY) = Growth, spending, cyclical risk-on sector (Tesla, Amazon, Nike, etc.).

So when Gold outperforms XLY, it usually signals:

- Risk aversion → Investors prefer safety over growth.
- Macro stress (tight money, slowing economy, crisis vibes).
- Often happens in USD bear markets or late-cycle phases.

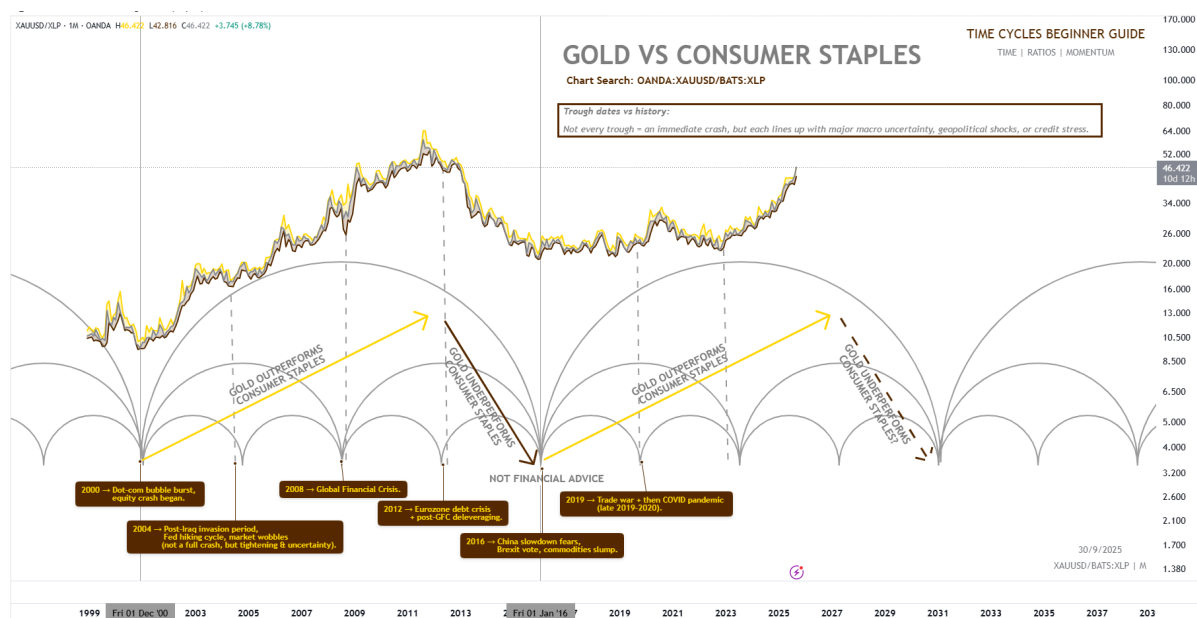
When XLY outperforms Gold, it usually signals:

- Confidence in growth & spending.
- Risk-on appetite.
- Early-to-mid USD/stocks bull market conditions.

In short: XAU/XLY is a risk appetite barometer.

Rising = defensive positioning, falling = growth optimism.

7.4 GOLD vs CONSUMER STAPLES(S&P 500 sector) = XAU/XLP



- If the ratio is rising → Gold is outperforming Consumer Staples.
- If the ratio is falling → Consumer Staples are outperforming Gold.

Interpretation

- **Gold (XAU)** = Hedge, inflation protection, “hard money” store of value.
- **Consumer Staples (XLP)** = Defensive equities (Procter & Gamble, Coca-Cola, Walmart, etc.), steady demand regardless of economy.

When **Gold outperforms Staples**:

- Signals **fear of currency debasement or systemic risk**.
- Investors trust *hard money* more than even “safe” stocks.
- Often tied to **high inflation, debt crises, or distrust in equities/fiat system**.
- Can mark **late-cycle stress or monetary regime shifts**.

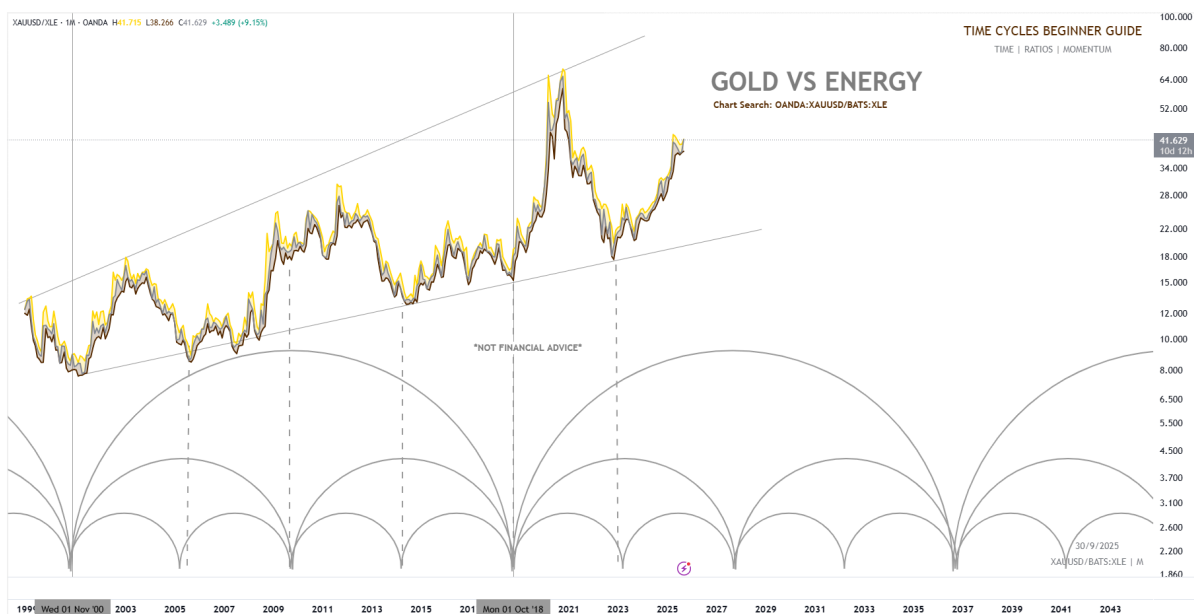
When **Staples outperform Gold**:

- Investors prefer stable cash-flow equities over hard money.
- Confidence in the financial system remains intact.
- Typical of **low-inflation, stable macro periods** or early bull markets in stocks.

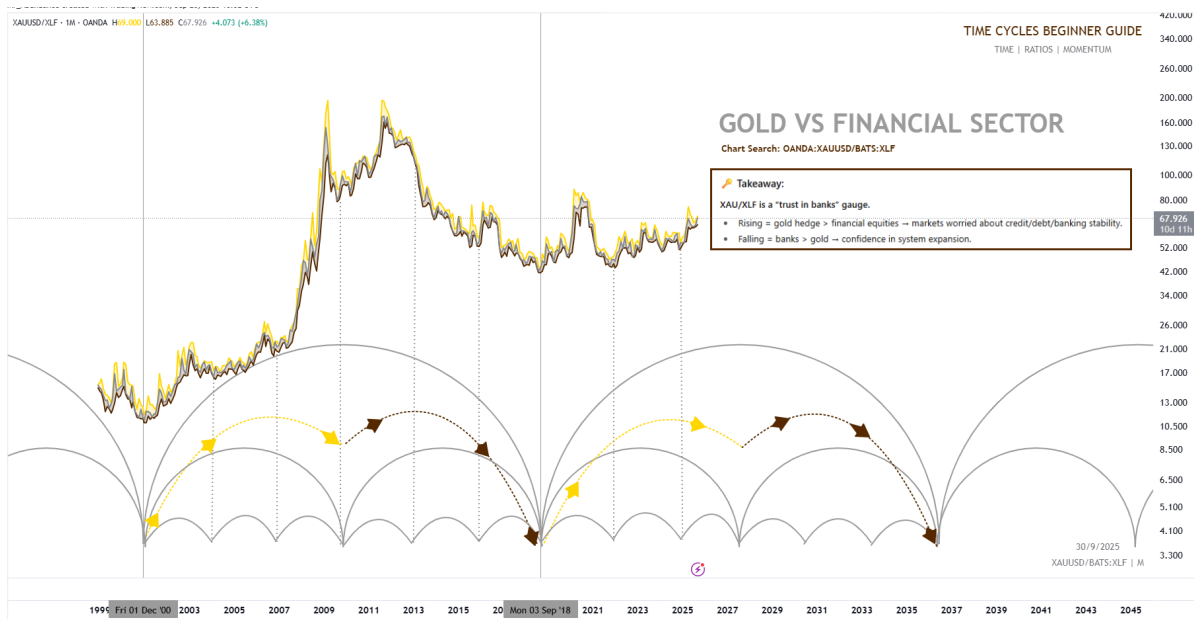
In short:

- XAU/XLP rising = Defensive + inflation hedge demand > defensive equities.
- XAU/XLP falling = Equities (staples) seen as safer than gold.

7.5 GOLD VS ENERGY = XAU/XLE



7.6 GOLD VS FINANCIALS (S&P 500 Financials ETF) = XAU/XLF



What it means:

- If ratio is rising → **Gold outperforms banks & financials.**
 - Signals stress in the financial system (loss of trust in banks, debt stress, crisis).
- If ratio is falling → **Financials outperform gold.**
 - Signals confidence in credit expansion, equities, and banking system (risk-on).

Looking at the chart:

- **2000 trough → rising into 2008**
 - Dot-com bust, Fed easing → Gold began to outperform.
 - Massive spike into 2008 GFC as banks collapsed.
- **2011–2018 decline**
 - Post-GFC recovery, QE liquidity → Confidence in financials, gold underperformed.
- **2018 trough → rising into 2020–2021**

- Trade wars, COVID → Distrust in banks, gold demand spiked.
- **2021–2025**
 - Gold steadily outperforming financials again → Implies ongoing systemic stress (inflation, debt overhang, banking fragility).
- **Cycle projection forward:**
 - Suggests gold may continue outperforming into the late 2020s.
 - Next underperformance phase (financials stronger) projected ~2031–2036.

Example 8 - Identifying Outperformance in Commodities Bull Market

Here we can ask the question: “Is it better to hold spot commodities or miners?” During a Precious Metals or Commodities Bull market there will be periods of outperformance by miners.

Ratio Examples:

- Gold: XAU/ GDX (Gold Miners ETF)
- Silver: SLV / SIL (Silver Miners ETF)
- Copper: XCU/COPX(Copper Miners ETF)
- Lithium: LIT(Lithium&Lithium Batteries ETF)/LITP(Lithium Miners)
- Uranium: URA (Global X Uranium ETF)/ URNM (Uranium Miners)
- Platinum: PLTM/SBSW (**See note below**)
- Palladium: PALL/SBSW (**See note below**)

Platinum and Palladium: PLTM/SBSW and PALL/SBSW

Note: There is no clear US based Platinum miners only ETF, nor Palladium miners only ETF, however, Sibanye Stillwater Limited is the best available option although it is platinum & palladium with some other battery metals.

Uranium: SPUT/URNM (Uranium Miners ETF)

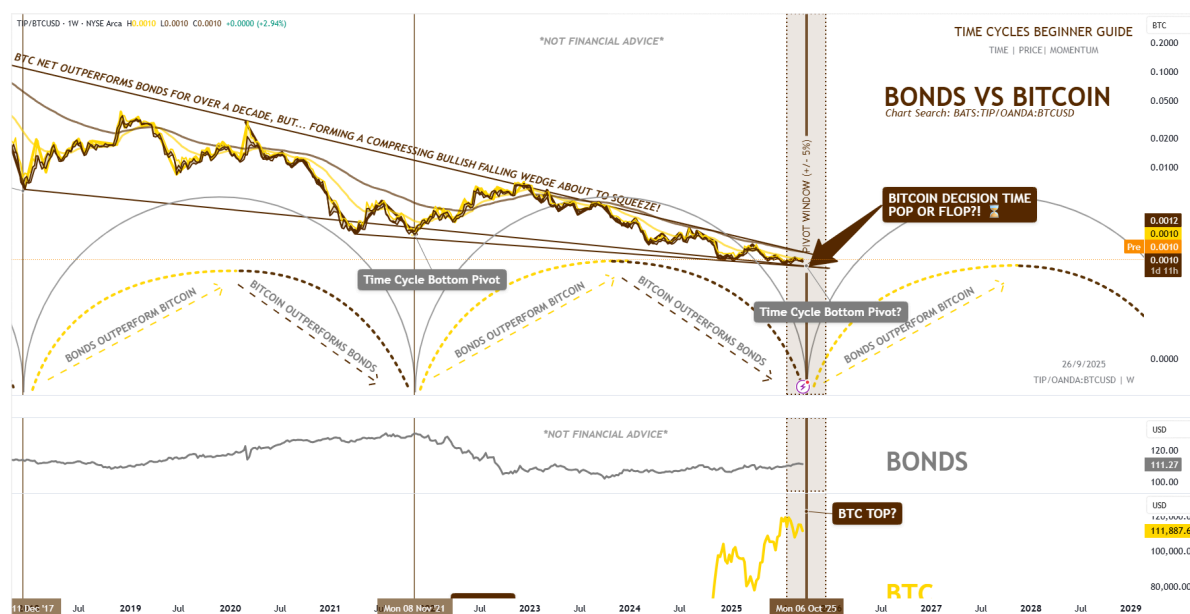
Note: Uranium cannot be held physically by normal investors so the following can be used interchangeably as close proxy to spot uranium price: Sprott Physical Uranium Trust (SPOUT), Roundhill Uranium ETF (UX),Yellow Cake Plc (YCA:LON).

Example 9 - Identifying Cycle Tops - Bitcoin

Here we are asking the question “when is there a shift from risk on, to risk off in financial markets”. A simple approach to this is identifying one of the major risk-off assets and comparing that to one of the major risk on assets. Bonds vs bitcoin (as proxy for risk on cryptocurrency).

On tradingView Search: AMEX:TIP/OANDA:BTCUSD

The below chart ratio looks at Bonds vs Bitcoin as an indicator for BTC cycle top. We use TIP/BTC and map inverse correlation of TIP/BTC ratio bottoming, and that being the exact topping point on BTC. Past performance does NOT guarantee future performance, however, we can use it as a key ratio to indicate when to bias risk on vs riskoff from a HTF perspective, with clarity and simplicity.



Note: The time window of +/-5% gives a 71D zone which is relatively tight. In actuality a 10% time window is more recommended, but that gives us a 143D zone. Where we can we want to have the time cycle windows as tight as possible, so that they are more actionable in terms of executing a trade. However, tightening a time window, especially for timing a top, needs to have contextual support.

In this case, we know that when macro tops are formed they are likely to occur at similar times across many asset classes due to commonality principle. Therefore, we want to check if there are any higher time frame cycle pivot bottoms due at the same time on correlated assets.

Here in this example, SPX has a time pivot bottom due in November 2025. BTC is due a dominant 80D time cycle bottom in November 2025. BTC is highly correlated to SPX. These assets having a common significant time cycle bottom due at similar times suggests we can at least expect a significant bottom to form, and that there may also be a larger correction due.

Finally, putting this context together with the TIP/BTC ratio suggesting a top within 71 days of October, and BTC having a next dominant time cycle bottom due in around 80 days, then it pairs well to expect a significant top may form within 71 days, to begin a drop into the next 80D time cycle bottom.

Never rely on 1 ratio as confluence, especially for macro 4 year+ time cycle tops. You should still on BTC for example, use the likes of BTC/SPX, BTC/GOLD, BTC/QQQ etc.

You could then also use the dominant time cycle of 80D cycle as confluence to know when a bottom is due. And, use the 80D VTL trend line for assisting with short trades.

You don't need 30 different flashing indicators, you don't need 20 years Gann mastery, you don't need a PhD in astrology or market auction theory. You just need your standard price action TA (which you will already be working to master and improve), then stacking on time cycles, ratios, and momentum, even at this simple level, gives incredible clarity and edge in refining. Allowing you to align with market maker moves well ahead of time.

Q: Why TIP instead of 2Y/10Y bonds?

TIP = iShares Treasury Inflation-Protected Securities ETF

It tracks **TIPS** — U.S. government bonds *indexed to inflation*.

- Price = real yield exposure
- Protects principal from CPI inflation (coupon + inflation adjustment)
So, TIP ≈ “**real yield market**” — it reflects what happens when *inflation expectations* or *real interest rates* move.
- **TIP/BTC measures liquidity rotation**, not just interest rate policy.
- **TIP/BTC is forward-looking** — real yields move before nominal ones.
- **TIP/BTC tracks the “hard vs. digital” trade-off** (commodities/gold vs. crypto/tech).
- When **TIP rises relative to BTC**, it signals money exiting speculative risk → into inflation-protected refuge.

You can think about it like this:

TIP = capital rotation measure = MM money tracker,

2Y etc = recession measure = Macro economic tracker

- Use 2Y/10Y to read the economic phase (recession vs expansion).
- Use TIP/BTC to read liquidity phase (speculation vs preservation).

<u>Metric</u>	<u>TIPS (via TIP ETF)</u>	<u>Nominal Treasuries (2Y/10Y)</u>
Measures	Real yields (after inflation)	Nominal yields (before inflation)
Signal type	Inflation & liquidity sentiment	Growth & recession sentiment
Macro meaning	Shifts between <i>risk-on</i> vs. <i>real asset protection</i>	Shifts between <i>short</i> vs. <i>long-term growth expectations</i>
Cycle sensitivity	More tied to commodity/inflation cycles	More tied to business/economic cycles
Behavior in crises	Outperforms when inflation is high & risk appetite fades	Outperforms when growth collapses & rates are cut

SILVER/BTC

Again Key Asset Ratios can be used to identify potential topping points on other major assets. It does not need to be “THE CYCLE TOP” as everyone chases. You can simply identify with ratios and time pivots a high probability short, and it turns out to be “THE” top. Focus is on high probability trades using Ratios to assist with this, that is all. “Sniping” perfect entries and macro swing positions is just a natural side benefit that does not need to be aimed for when taking high probability setups.

